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2.4 Risk-Based Routing Design and Rules Tables

The fourteen rule sets that replace deal-type workflows, for agreement with Credit Risk Policy

Deliverable	2.4 Routing design (eligibility, triage, material-change triggers) and rules tables RS-01 to RS-14
Version	0.5 – proposed content for co-design with Credit Risk Policy in Weeks 8–10; thresholds marked proposed are the project's starting positions, not Bank policy; v1.0 on Head of Credit Risk Policy acceptance (Week 10)
Derived from	2.2 §5 rule-set index; 1.6 control inventory; 1.3 matrix variants; 1.4 fast-track cohort analysis (A2); RFP deal-type definitions; SR / SD existing fast-track practice
Owner	WS2 Credit Policy, DA & Controls (Credit Risk and Controls Specialist)
Accepted by	Head of Credit Risk Policy (rule content); second-line Risk (evidence and sampling, via 2.5); Lending Operations (RS-06, 07, 08, 13, 14)
Depends on	PQ-001 renewal authority; PQ-002 CAP parallel authority; DR-07 DA matrix; A2 cohort results; WS-05 reason taxonomy; WS-10 material-change triggers

How to read the thresholds. Every numeric threshold below is a proposal chosen to be defensible and to be tested against the Phase 1 cohort data. Credit Risk Policy sets the actual values. The project's contribution is the structure of each rule, the data it runs on, the evidence it records, and the sizing of each threshold's effect (section 7), so that the trade-off between eligibility and risk is explicit when the values are set.

1. Approach

1.1 Rules as data, not workflow

Each rule set is specified as a decision table: a list of conditions on named data elements, and the outcome when the conditions hold. The platform evaluates the table at the step named in 2.3; the outcome and the rule version are written to the deal as evidence (DP-02). Rules are owned by the function named on each table and changed through that function's governance, not by a system change. This is the mechanism by which deal type stops defining a workflow: the type is simply a condition column.

Element	Meaning
Rule set (RS-nn)	A decision table with a single purpose, an owner, a version and an effective date
Condition	A test on a data element the platform holds at the evaluation point (1.8 field groups); every condition names its source
Outcome	Route, required item, template, gate, limit or approver
Hit policy	How multiple matching rows resolve: **First** (ordered; first match wins), **Any** (all matching rows must agree), **Collect** (union of outcomes, e.g. required items)
Evidence	What is written to the deal: rule set, version, row(s) matched, input values at evaluation
Override	Whether a human may override the outcome, by whom, and with what recorded reason

1.2 The three routing decisions

Decision	Where	Rule sets	Outcome	Equivalence / policy
Is this renewal eligible for the fast-track?	SC-2 D1 for P2	RS-01 with RS-11 exclusion, RS-10	R-FAST or R-FULL	CE-001; PQ-001
Is this servicing change administrative or credit-relevant?	SC-2 D1 for P3	RS-03 with RS-11 exclusion	R-FAST or R-FULL; gates in SC-3 via RS-07	CE-003
Does this drawdown need Credit?	SC-2 D1 for P4	RS-02 with RS-11 exclusion	R-EXC or R-FULL	Existing practice formalised

1.3 Design constraints applied

- An early-warning flag (RS-11) always forces R-FULL or P5; no fast route is available to a flagged connection (DP-08).
- A fast route never removes the authority control (C5); it changes who holds the authority and what evidence is recorded (DP-03).
- Every fast route is sampled by Credit after approval at a rate set in CE-001 / CE-003, with a feedback loop to the thresholds.
- Rules run on data captured at source; where a condition needs data the platform does not hold, the rule is marked *Gap* for 2.7 and the condition is conservative until the data exists.

2. Route eligibility and triggers

RS-01 · Renewal fast-track eligibility P2 · SC-2 D1 · hit policy: Any (all conditions must hold) · owner: Head of Credit Risk Policy

Purpose	Identify renewals with no structural change and no risk deterioration that may be approved within line authority with a reduced submission.
Evaluated on	Data at SC-1a completion; re-evaluated at submission if any input changed.
Outcome	All conditions true → R-FAST; any false → R-FULL with the failing condition(s) recorded (so Credit sees why).
Override	RM may force R-FULL (always permitted). RM may not force R-FAST.

#	Condition	Data element (1.8)	Proposed threshold	Rationale / to test
1	No change to any facility limit	F04 limits vs. prior	Δ = 0 for every facility	Definitional for Renewal (RFP); structural validation in P2
2	No change to pricing, tenor, repayment, security, covenants, parties	F04, F08, F09, F02	Δ = 0	As above; any change diverts to P3 before SC-2
3	Risk grade within the eligible band	F06 grade	Grades 1–[n] on the Bank's scale (proposed: top two-thirds of performing grades)	A2 cohort: compare 12-month outcomes by grade band; set the band where eligible-cohort downgrade rate ≤ full-review cohort
4	Risk grade not stale	F06 grade date	Reviewed within 15 months	Ensures a grade refresh at least every other renewal cycle; F06 protection (1.8)
5	No grade migration downward in the period	F06 history	No downgrade in prior 12 months	Early deterioration signal
6	Covenants compliant; no open breach or waiver	F09	All tests passed; no active waiver	RS-11 input
7	No early-warning flag	RS-11 output	Flag = false	DP-08 exclusion
8	No arrears or excess in the period	Account conduct (integration)	No arrears > [n] days; no unauthorised excess in 12 months	Gap if conduct data not integrated → conservative: condition fails
9	No EPR in the prior 12 months	F03 history	EPR count = 0	RFP: EPR indicates review could not complete
10	Not in a sector or product excluded by policy	F01 sector; F04 product	Exclusion list per policy	Credit Risk to specify
11	Total connection exposure within fast-track ceiling	F05 exposure	≤ £[x] (proposed: aligned to line-authority ceiling in DA matrix)	Ties to RS-05; DR-07
12	Prior renewal was not itself fast-tracked, or sampling permits consecutive	F03 route history	At most [2] consecutive fast-tracks before a full review	Guarantees periodic full review; CE-001

Evidence written	Rule version; each condition's input value and result; route selected; approver authority level (RS-05).
Expected effect	Illustrative 48% of renewals eligible (1.10 input); measured share from A2 at G1. Section 7 shows sensitivity to conditions 3, 4, 11, 12.
Review	Quarterly: eligible-cohort outcomes vs. full-review cohort; thresholds adjusted by Credit Risk Policy; sampling findings (CE-001) feed in.

RS-02 · Material-change triggers for pre-approved drawdowns

P4 · SC-2 D1 · hit policy: Any trigger → R-FULL · owner: Head of Credit Risk Policy

Purpose	Formalise the undocumented "need credit approval?" decision on SR-1 / SD-1: Credit is involved only when something material differs from the approval.
Outcome	No trigger → R-EXC; any trigger → R-FULL with trigger recorded.

#	Trigger	Data element	Proposed threshold
1	Allocation would exceed pre-approved limit	F04; C19 arithmetic	Hard stop; cannot proceed (not a trigger, a block)
2	Product outside the approved product set	F04 product vs. approval	Any
3	Pricing outside the approved range	F04 rate / margin	Margin below approved floor
4	Tenor beyond approved maturity	F04 maturity	Any
5	Approval age	F07 decision date	> 12 months since approval or last full review
6	Early-warning flag	RS-11	Flag = true
7	Tranche drawn out of sequence or amount differs from schedule	P1 tranche schedule	Amount Δ > 10% or sequence change
8	Security condition attached to the tranche not yet satisfied	F08; G-SEC	Any unsatisfied

RS-03 · Variation reason taxonomy and materiality

P3 · SC-1a R1 and SC-2 D1 · hit policy: First (most material reason wins) · owner: Head of Credit Risk Policy; taxonomy maintained by Lending Operations

Purpose	Capture why a facility is being changed, and route administrative changes to R-FAST and credit-relevant changes to R-FULL. Replaces the single Variation path.
Outcome	Route; letter template (RS-06); security gate (RS-07); fulfilment gate.
Combination rule	Where several reasons apply, the most material governs. Any reason marked R-FULL forces R-FULL.

Code	Reason	Route (proposed)	Letter	Security gate	Fulfil gate	Notes
V-01	Review or maturity date change within policy window	R-FAST	Notice	No	Yes	Overlaps EPR; counter applies
V-02	Tracking item / covenant due-date amendment (no covenant level change)	R-FAST	None	No	No	Most frequent administrative change (to confirm from DR-04)
V-03	Covenant level or test change	R-FULL	Letter	No	Yes	Credit-relevant
V-04	Pricing change (reference rate or margin)	R-FULL	Letter	No	Yes	RFP: EPR cannot be used for rate change; same logic
V-05	Limit decrease (not full repayment)	R-FAST if no security release; else R-FULL	Letter	If release	Yes	Policy question: is a decrease credit-neutral?
V-06	Limit increase	→ P1 (Increase)	—	—	—	Not a variation
V-07	Party added or removed (guarantor, partner, director)	R-FULL	Letter	Yes if guarantee	Yes	Party completeness (C1)
V-08	Security added, substituted or released	R-FULL	Letter	Yes	Yes	Shared-security check

V-09	Product change or restructure (same aggregate exposure)	R-FULL	Letter	Per product	Yes	Restructure flag
V-10	Correction of a recording error (no change to agreed terms)	R-FAST	None	No	Per field	Audit trail; four-eyes by line
V-11	Removal of all facilities	Removal path (TB-P3R)	Confirmation	Release	Yes	C12
V-12	Other (free text; routes R-FULL until classified)	R-FULL	Letter	Per Credit	Yes	Taxonomy maintenance input
Expected effect	Illustrative 60% of variations administrative (V-01, V-02, V-05 part, V-10); measured mix from DR-04 and the 50-deal sample.					
Equivalence	CE-003: administrative route approved by line with recorded reason; Credit sampling; any R-FULL reason forces full route.					

3. Submission, authority and analytics rules

RS-04 · Required analytics and submission items SC-2 R1 / R2 / S2 · hit policy: Collect · owner: Head of Credit Risk Policy

Purpose	Replace "if required" and tacit Credit expectations with an explicit list of items the submission must contain, by route, pattern and risk band. The platform enforces presence before submission (C3 as rules) and presents the list to the RM as a checklist.
Outcome	Union of required items from all matching rows; each item has a field or document type the platform can check for presence.

Item (C2 components and more)	P1 R-FULL	P2 R-FULL	P2 R-FAST	P3 R-FULL	P3 R-FAST	P4 R-EXC	P5 referral	Platform check
Customer analysis narrative	●	●	Short form	●	—	—	●	Field present; min length
Financial statements (current)	●	●	Not required if grade < 15 months	●	—	—	●	Document type + date
Debt-servicing calculation	●	●	Prior carried forward	● if V-03/04/05/09	—	—	●	Calc present; inputs dated
ECRS / lending category classification	●	●	● (refresh if stale)	●	—	—	●	Field present; date
Risk grade (current)	●	●	● (RS-01 c.4)	●	Current	Current	●	Field + date
External credit checks	●	● if > 12 months old	Not required	● if V-07	—	—	●	Integration result + date
Credit memo	●	●	Auto-generated summary + RM confirmation	●	Reason + confirmation	Allocation summary	Referral summary	Document generated / field
Security valuation (current)	● if secured	● if > [36] months	—	● if V-08	—	● if tranche-conditioned	●	F08 date
Covenant compliance certificate	—	●	● (system status)	● if V-03	—	—	●	F09 status
Early-warning check	●	●	●	●	●	●	n/a	RS-11 result
Variation reason and materiality	—	—	—	●	●	—	—	RS-03 code
Tranche / allocation detail vs. schedule	—	—	—	—	—	●	—	P1 schedule; C19

● required · — not required · proposed where the as-is has no stated rule. Risk-band variants (e.g. additional items for grades near the band edge) added by Credit Risk Policy in co-design.

RS-05 · Delegated-authority determination inputs

SC-2 S3 · hit policy: First (lowest sufficient authority) · owner: Head of Credit Risk Policy · content from DA matrix (DR-07)

Purpose	Automate C5: determine the authority level required for a decision from data, record it, and route accordingly. The matrix content is Bank policy and is loaded as data; this table defines the inputs and the determination logic.
Inputs	Total connection exposure after the proposal (F05); largest single facility limit (F04); risk grade (F06); product class (F04); customer type / segment (F01); route (RS-01/02/03 outcome); pattern; any policy exception flag.
Logic	Look up the DA matrix on the input combination; return the lowest authority level whose ceilings all exceed the proposal; compare with the approver's held authority (user profile); if approver ≥ required → within authority; else → Credit queue at the required level.
R-FAST authority	Subject to PQ-001: eligible renewals determined at "line" level regardless of exposure up to the RS-01 c.11 ceiling, with Credit sampling (CE-001). If PQ-001 is refused, R-FAST still runs the standard matrix and removes only the manual step.
Evidence	Matrix version; inputs; required level; approver level; outcome; override reason if any.
Override	Approver may escalate to a higher level (always). May not approve below required level. Policy-exception approvals recorded as such with the exception reference.
Reporting	Authority breaches become impossible by construction; attempted approvals below level are logged (control MI for O3).

RS-09 · Loop limits and escalation

EX-B · owner: Head of Credit

Parameter	Proposed value	Rationale
Maximum deferral loops before escalation	2	Illustrative baseline: 18% of deferred deals loop ≥ 2; escalation catches the tail
Assessor continuity	Same assessor on resubmission unless unavailable > 3 working days	Removes re-reading; accountability
Request structure	Items from RS-04 list or free text with category; each with owner (RM / customer) and due date	Feeds RS-04 maintenance
Response SLA	RM items 3 working days; customer items 10 working days then chase	DP-04
Escalation outcome options	Approve with conditions; decline; one further loop with Credit-manager reason	Bounded

RS-10 · Extension Pending Review limits

P2 · owner: Head of Credit Risk Policy · from RFP

Parameter	Value	Enforcement
Maximum extension per EPR	3 months	Maturity and review date Δ ≤ 3 months; system-enforced
Maximum consecutive EPRs	3	Counter on facility; third extension forces R-FULL on the next renewal; fourth blocked
Items required	RS-04 P2 R-FAST column, plus reason for extension	Checklist
Rate or structure change	Not permitted on EPR	Divert to P3 or P1
Eligibility interaction	EPR in prior 12 months fails RS-01 c.9	Automatic

RS-12 · Post-approval change materiality

EX-C · owner: Head of Credit Risk Policy

Field changed after approval	Proposed class	Effect

Drawdown date within approved window; account details; correspondence address	Non-material	Documents regenerated; approval stands; change logged
Amount decrease ≤ [20]% with no security change	Non-material	As above; DA re-check (lower)
Any limit increase; pricing; tenor; repayment profile; security; parties; product	Material	Return to SC-2 S2; re-assessment of the change; same assessor
Purpose of borrowing	Material	As above
Early-warning flag raised since approval	Material	As above; P5 prompt

4. Documentation, security and staleness rules

RS-06 · Letter template and letter-required rule

SC-3 S1 · hit policy: First · owner: Lending Operations

Pattern / reason	Letter required?	Template	Signature	Notes
P1 any	Yes	Facility agreement per product set	Customer (and guarantors)	Tranche schedule embedded where applicable
P2 R-FAST, no term restated	Notice of renewal	Renewal confirmation	None (acknowledgement optional)	Resolves RN-3 D1 for the majority of renewals; to confirm with Legal
P2 R-FULL or terms restated	Yes	Renewal letter	Customer	
P2 EPR	Notice of extension	Extension confirmation	None	
P3 V-01, V-02, V-10	Notice or none (RS-03)	Variation notice	None	
P3 V-03 to V-09	Yes	Variation letter / supplemental agreement	Customer; guarantors if affected	
P3 V-11 removal	Confirmation	Release confirmation	None	
P4 reduced shadow limit	Notice	Limit notice	None	Replaces full FAL (PP-31)
P4 new facility from shadow limit	Yes	Facility agreement	Customer	
P4 tranche drawdown	Confirmation	Tranche confirmation	None	Ends off-platform letter (W-07)

RS-07 · Security gate and re-instruction

SC-3 S4 · owner: Head of Lending Services

Condition	G-SEC applies?	Instruction content
P1 with security in approval conditions	Yes	Generated from conditions: type, parties, property / asset, priority
P2 any	No	Existing security confirmed in place (status check only)
P3 with V-07 (guarantee) or V-08	Yes	Add / substitute / release per reason
P3 other reasons	No	None (ends default re-instruction, PP-28)
P4 tranche with security condition	Yes, for that condition	Per tranche
Removal (V-11)	Release sequence (TB-P3R)	Release after shared-security check

RS-08 · Staleness and chase schedule

EX-E · owner: Lending Operations; second line (CE-002)

Elapsed since issue	Action	Actor	Evidence
2 weeks	Automated reminder to customer	Platform	Sent timestamp
4 weeks	Second reminder; RM task to contact	Platform; RM	Contact note
8 weeks	Third reminder; RM task; line manager visibility	Platform; RM	Contact note
10 weeks	RM extension with reason, or withdraw	RM	Reason code
3 months	Re-validation of key facts (below); approval stands if unchanged	Platform check + RM confirmation	Re-validation record

6 months, or material change at any time	Reset to SC-2 (full re-approval)	Platform	Reset reason
Re-validation items at 3 months	Risk grade unchanged or improved; no early-warning flag; no arrears; limit and terms unchanged; security position unchanged; no change in parties. Any failure → reset.		

5. Flag, approver and pre-screen rules

RS-11 · Early-warning flag composition SC-1a S3; RS-01/02/03 exclusion; P5 trigger · hit policy: Any → flag · owner: Credit Risk; SBS

#	Indicator	Data element	Proposed threshold	Availability (2.7)
1	Arrears or unauthorised excess	Account conduct	> [n] days in last 6 months	Integration (Gap until built)
2	Risk-grade downgrade	F06 history	≥ 1 notch in 12 months, or any move into watch grades	Platform
3	Covenant breach or active waiver	F09	Any	Platform (OP-24)
4	Forbearance status	F10	Any active	Platform
5	Watch-list membership	F06 / risk flag	Any	Platform
6	Prior CAP referral (open or closed within 24 months)	P5 history	Any	Platform
7	Connected party flagged	F02 → indicators 1–6 on connected customers	Any	Platform (connection model)
8	External adverse data (where integrated)	Bureau	Per bureau score band	Integration

Effect	Flag = true → no fast route (RS-01, 02, 03 fail); P5 referral prompt at SC-1a; SBS queue visibility; Credit sees indicators on assessment.
Review	Indicator thresholds reviewed quarterly against referral outcomes (T8; categorisation rate of flagged connections).

RS-13 · Approver by segment and route SC-2 R3; SC-3 S3 (wet-ink) · owner: Lending Operations · from RN-3 segment variation and DA matrix

Segment	P2 R-FAST approver (proposed)	P3 R-FAST approver	Returned-letter checker (wet-ink)	Notes
Business Direct	Team leader (line)	Team leader	RM	Volume segment; four-eyes by line
Strategic Finance	RM within held authority; else line	RM	Business Ops	As-is checker retained
Corporate	Line (insider-information restrictions)	Line	Corporate Associate	C27 access model

RS-14 · Pre-screen criteria and reason codes SC-1b S2 · owner: Lending Operations; Conduct

Code	Criterion (proposed)	Outcome	Notes
PS-01	Request outside product set or below minimum / above maximum for channel	Decline with reason; refer to alternative	Referral destinations defined (EX-A)
PS-02	Customer type not served by Business Banking	Refer	
PS-03	Known adverse: existing early-warning flag or prior decline within [6] months without change	Decline with reason	RS-11
PS-04	Sector or purpose excluded by policy	Decline with reason	Policy list
PS-05	Insufficient information to assess (after one request)	Hold; close after [30] days	Measured
PS-06	Passes	Proceed to SC-1b S3	

Every outcome is recorded with the code; the free-text “initial overview” ends. Decline MI feeds RR-07 and the appeal path EX-A.

6. Policy questions, equivalence entries and sampling design

6.1 Policy questions routed to Credit Risk Policy

Ref	Question	Rule sets affected	Needed by	Design if answered no
PQ-001	May renewals meeting RS-01 be approved within RM / line authority up to the RS-01 c.11 ceiling, with Credit sampling in place of pre-approval assessment?	RS-01, RS-05	W10	R-FAST retains Credit assessment; benefit is reduced submission and automated DA only
PQ-002	May SBS categorisation proceed in parallel with the Credit authority decision for referrals triggered by RS-11 indicators 3, 4 or 5?	RS-11; P5	W10	Sequential; referral record still shared
PQ-003	Is a limit decrease without security release (V-05) credit-neutral for routing purposes?	RS-03	W9	V-05 → R-FULL
PQ-004	What grade band, grade age and exposure ceiling apply to RS-01 conditions 3, 4 and 11?	RS-01	W10	Conservative defaults until set
PQ-005	May a renewal notice without customer signature document an unchanged renewal (RS-06 P2 R-FAST)?	RS-06	W10 (with Legal)	Letter with signature on all renewals

6.2 Equivalence entries opened in 2.5 by this design

Ref	As-is control changed	Replacement	Evidence produced	Residual risk and mitigation
CE-001	C6 independent Credit assessment bypassed for RS-01-eligible renewals	RS-01 eligibility evaluated by platform; RS-05 automated authority with recorded level; RS-04 reduced items enforced; RS-01 c.12 periodic full review; Credit post-approval sampling	Rule evidence per deal; sampling results; cohort outcome MI quarterly	Deterioration missed between grade reviews → RS-11 flag exclusion; c.4 grade age; sampling rate 10% initially, risk-weighted
CE-002	3-month unreturned-letter reset (C8 timing)	RS-08 chase evidence; RM extension with reason; 3-month re-validation of listed facts; 6-month reset	Chase timestamps; reason codes; re-validation record	Stale approval acted upon → re-validation items include grade, flag, arrears, terms
CE-003	C6 bypassed for administrative variations (RS-03 R-FAST reasons)	Reason code enforced; most-material-wins; line approval with evidence; Credit sampling	Reason, route, approver; sampling	Mis-coding → sampling targets V-02 and V-10; V-12 always R-FULL
CE-004	C4 manual document check	Letter generated from terms; reconciliation on return (automated for e-signed)	Generation log; reconciliation result	Template error → template change control; wet-ink retains manual check
CE-005	C7 distress screen relocated from end of assessment to deal start	RS-11 flag at SC-1a; assessor judgement retained at K1	Flag result and indicators	Indicator data gaps → conservative thresholds; Gap items in 2.7

6.3 Sampling design (CE-001, CE-003)

Element	Proposed
Population	All R-FAST approvals (P2 and P3) in the month
Rate	10% in the first two quarters, risk-weighted (higher for grades at the band edge, exposures near the ceiling, V-05 and V-10); reviewed quarterly against findings; floor 5%

Reviewer	Credit assessor not involved in the segment's line approvals
Test	Would a full assessment have reached the same decision? Were RS-01 / RS-03 inputs correct?
Outcome	Pass / finding; findings categorised (rule error, data error, judgement); feedback to thresholds and to RS-04 items
Escalation	Finding rate above [5]% in a segment suspends R-FAST for that segment pending Credit Risk review
MI	Monthly to Head of Credit; quarterly to Design Authority / Risk Committee; cohort outcomes (downgrade, arrears, referral) for fast-track vs. full-review populations

7. Threshold sensitivity and expected effect (illustrative; measured at v1.0)

The value of RS-01 depends on where Credit Risk sets conditions 3, 4, 11 and 12. The table shows how the eligible share and the capacity effect move with each, using the illustrative inputs from 1.10. It is the basis for the co-design conversation: each row is a choice with a stated cost.

Scenario	Conditions	Illustrative eligible share	Credit FTE-eq	RM FTE-eq	Renewal P50 (eligible)	Risk posture
A · Conservative	Grade band top half; grade ≤ 12 months; ceiling at RM authority; no consecutive fast-tracks	≈ 30%	1.3	2.1	35 → 27	Full review at least every other cycle; lowest residual
B · Proposed	Top two-thirds; ≤ 15 months; line ceiling; max 2 consecutive	≈ 48%	2.0	3.3	35 → 27	Periodic full review every third cycle; sampling 10%
C · Extended	All performing grades; ≤ 24 months; line ceiling; unlimited consecutive with sampling	≈ 65%	2.7	4.5	35 → 27	Relies on RS-11 and sampling; highest residual

Capacity figures use the 1.10 OP-01 formula on illustrative inputs; cycle-time effect is the same per eligible deal in each scenario. The A2 cohort analysis at G1 replaces the eligible share with a measured value per scenario and adds the outcome comparison (downgrade / arrears rate of the would-have-been-eligible cohort), which is the evidence Credit Risk needs to choose.

7.1 Validation plan to v1.0

Week	Session	Rule sets	Participants	Output
8	Co-design 1: routing structure and RS-01 conditions; PQ-001 framing	RS-01, RS-05, RS-11	Head of Credit Risk Policy; Credit Managers; Controls Specialist	Condition list agreed; thresholds as scenarios
9	Co-design 2: variation taxonomy and materiality; EPR; post-approval	RS-03, RS-10, RS-12	Credit Risk Policy; Lending Ops; WG Servicing	Taxonomy v1; PQ-003
9	Co-design 3: submission items and loop limits	RS-04, RS-09	Credit Managers; Senior RMs	Items matrix agreed
10	Co-design 4: documents, security, staleness, approvers, pre-screen	RS-06, 07, 08, 13, 14	Lending Ops; Lending Services; Legal; Conduct	Tables agreed; PQ-005
10	Threshold decision with A2 cohort evidence	RS-01	Head of Credit Risk Policy	PQ-001, PQ-004 answered; scenario chosen
11	Equivalence review	CE-001 to CE-005	Second-line Risk	Register entries signed or conditions set
11	Rule test cases (section 8) executed on paper against 30 historic deals	All	Controls Specialist; Bank BA	Rules behave as intended; edge cases logged

8. Rule test cases (extract)

Each rule set carries test cases in the requirements pack (2.8). The extract below shows the form; the full set is thirty historic deals re-routed on paper in Week 11.

ID	Scenario	Inputs	Expected outcome	Rule rows
TC-01	Unchanged renewal, grade 3, reviewed 10 months ago, covenants compliant, no flags, exposure below ceiling, prior renewal full	Per RS-01 c.1–12 all true	R-FAST; line approver per RS-13; notice per RS-06	RS-01 all; RS-05; RS-06 row 2
TC-02	As TC-01 but one covenant waiver active	c.6 false	R-FULL; failing condition recorded; full items	RS-01 c.6; RS-04 P2 R-FULL
TC-03	As TC-01 but grade reviewed 16 months ago	c.4 false	R-FULL; grade refresh required	RS-01 c.4; RS-04
TC-04	Renewal with guarantor change requested	Party Δ	Divert to P3 before SC-2; V-07 → R-FULL	P2 structural validation; RS-03 V-07
TC-05	Variation: covenant due-date moved 30 days	V-02 only	R-FAST; no letter; no security; no fulfilment	RS-03 V-02; RS-06; RS-07
TC-06	Variation: due-date move plus margin change	V-02 + V-04	R-FULL (most material wins); letter	RS-03 combination rule
TC-07	Shadow-limit reallocation within limit, approved 8 months ago, product in set	No RS-02 trigger	R-EXC; notice + agreement	RS-02; RS-06 P4 rows
TC-08	Tranche drawdown 15% above schedule	RS-02 t.7	R-FULL; trigger recorded	RS-02 t.7
TC-09	Eligible renewal but connected party has arrears	RS-11 i.7	Flag; R-FULL; P5 prompt	RS-11; RS-01 c.7
TC-10	Deferred twice, still insufficient	Counter = 2	Escalation to Credit manager	RS-09
TC-11	Letter unreturned at 11 weeks; RM extends; at 3 months grade unchanged, no flag	RS-08	Re-validation passes; approval stands; no reset	RS-08; CE-002
TC-12	Approved deal; customer asks to reduce amount 10%, no security change	RS-12 row 2	Non-material; documents regenerated; DA re-check	RS-12